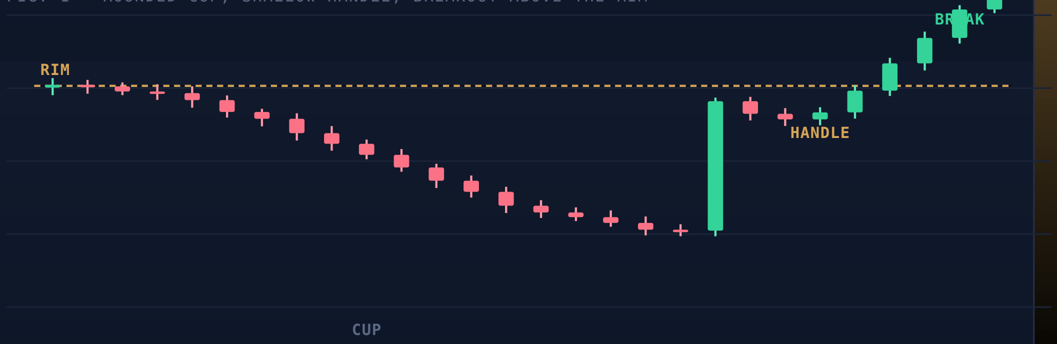
◆STRATEGY GUIDE 13 / 20 · CONTINUATION PATTERN

Cup & Handle

A slow, rounded base, one last shakeout at the handle, then the breakout. Patience is the entire edge here.

FIG. 1 — ROUNDED CUP, SHALLOW HANDLE, BREAKOUT ABOVE THE RIM



PATTERN TYPE	DIRECTIONAL BIAS	TYPICAL READ TIME	WORKS BEST ON
Continuation	Bullish	10 min	Weeks-to-months timeframes

01 What It Is

The cup and handle is a continuation pattern shaped roughly like a rounded "U" — the **cup** — followed by a smaller, shorter pullback — the **handle** — typically resolved by a breakout above the cup's rim. Unlike sharper reversal patterns, this one is defined by its unhurried, gradual shape: a slow decline, a rounded base, and an equally gradual recovery back toward the starting level.

It's most often read as a continuation pattern within a broader uptrend, though it can also mark the early stages of a new advance after a prolonged decline finally finds a floor. What sets it apart from a V-shaped recovery is exactly that — the roundedness. A sharp V suggests a violent, emotional reversal; the cup's gentler curve suggests something closer to a gradual shift in sentiment.

02 Why It Works

The slow, rounded decline-and-recovery is thought to reflect a gradual shift from selling to accumulation. Early in the decline, sellers are still in control and price drifts down; as the decline matures, selling pressure exhausts itself and buyers slowly start to accumulate a position, producing the gentle upward curve back toward the rim.

The handle represents one final shakeout. By the time price approaches its old high again, some of the buyers from the very bottom of the cup are sitting on a solid gain and become willing sellers, causing a brief pullback. This pullback needs to stay shallow and controlled — a handle that stays in the upper half of the cup — for the base to remain constructive; a deep handle starts to look like renewed distribution rather than a final pause before takeoff.

03 Anatomy Of The Pattern

COMPONENT	WHAT IT SHOULD LOOK LIKE
The cup	A genuinely rounded "U", not a sharp V — the recovery from bottom to rim should take roughly as long as the decline into it
Cup depth	Meaningful enough to represent a real shakeout, but not so deep that it implies a change in the broader trend
The handle	Stays in the upper half of the cup and does not retrace too deeply — often on lighter volume than the cup itself
The breakout	A close above the cup's rim, ideally with increasing volume confirming fresh demand

> **On formation time:** very short cups — a handful of sessions — are considerably less reliable than ones formed over a meaningful stretch of time. The slow, patient formation is part of what gives the pattern its statistical basis; rushing the read defeats the purpose.

04 How To Trade It

- **Confirm the shape first.** Look for a cup that is genuinely rounded, not a sharp V — a V-shape recovery is a different, generally less reliable pattern that shouldn't be traded the same way.
- **Check the handle.** It should stay in the upper half of the cup and not retrace too deeply; a handle that dips back toward the cup's bottom undermines the setup.
- **Wait for the breakout.** Enter on a close above the cup's rim, ideally with increasing volume — entering during the handle itself means betting on a breakout that hasn't happened yet.
- **Set a target from the cup's depth.** Measure from the rim to the cup's low point, and project that same distance upward from the breakout point for a rough objective.
- **Place the stop below the handle's low.** This keeps the stop distance proportional to the handle's shallow structure rather than to the much larger cup.

05 Worked Example (Fictional)

The figures below are entirely made up, for illustration only — not a real security or historical trade.

Fictional stock "TVLN" trades near $80, then drifts down to $64 over nine weeks before slowly recovering back to $79 over the following ten weeks — a symmetric, rounded cup roughly $16 deep. It then pulls back to $75 over four sessions on noticeably lighter volume, staying well within the upper half of the cup, before closing at $80.60 on volume 1.8x its average — a confirmed breakout above the rim.

Entry triggers at $80.60, with a stop at $74.50 (just below the handle's low) — about $6.10 of risk per share. Using the cup's $16 depth projected from the breakout gives a target near $96.60, for a reward-to-risk of roughly 2.7:1.

06 Common Mistakes

- Forcing the pattern onto price action that's really just a random rounded wiggle with no clear handle at all.
- Entering during the handle itself rather than waiting for the actual breakout above the rim.
- Ignoring how long the cup took to form — very short cups are considerably less reliable.
- Treating a deep, sharp handle as acceptable simply because the overall cup looked clean.

Cup & Handle — Cheat Sheet

CUP

Genuinely rounded U, not a sharp V

HANDLE

Shallow, stays in the upper half of the cup

TRIGGER

Close above the rim, with rising volume

TARGET

Cup depth, projected from the breakout

STOP

Below the handle's low

RELIABILITY NOTE

Short, hastily-formed cups are weaker setups